

EU AI Act — Internal Briefing

Nova Insurance Group | Briefing Document NIG-BRF-EUAI-005

1. What is the EU AI Act?

Regulation (EU) 2024/1689 — commonly referred to as the EU AI Act — is the world's first comprehensive binding legal framework for artificial intelligence. It entered into force on 1 August 2024 and is being phased in through 2027. As an insurance undertaking operating in the EU, Nova Insurance Group is subject to the Act as both a user ('deployer') and, where we develop proprietary models, as a 'provider' of AI systems.

The Act introduces a risk-based classification for AI systems and imposes obligations on providers and deployers commensurate with the risk the AI poses to fundamental rights, health, safety and democratic processes.

2. Risk Classification Framework

Risk Level	Definition	Examples Relevant to Insurance	Key Obligations
Unacceptable Risk (Prohibited)	AI systems that pose a clear threat to fundamental rights	Scoring algorithms for hiring; manipulation using biometric data	Banned from deployment
High Risk (Annex III)	AI used in critical infrastructure or decision-making affecting people's lives	Credit scoring; risk assessment for insurance	Conformity assessment; oversight, accuracy
Limited Risk (Transparency)	AI that interacts with humans or generates content	Chatbots in customer emails; deep fakes	Disclosure of use
Minimal Risk	AI with little or no specific obligations under the Act	Spam filters; assisted document search	Not mandated (voluntary for content moderation)

3. Application Timeline and Key Milestones

Date	Milestone
1 August 2024	Act enters into force.
2 February 2025	Prohibited practices (Chapter II) take effect. Nova must immediately cease any systems falling under un
2 August 2025	Rules for GPAI models (Chapter V) take effect. Compliance with transparency obligations for general-pu
2 August 2026	High-risk AI system obligations (Annex III) apply. This is the critical deadline for insurance-related AI use
2 August 2027	Obligations for high-risk AI embedded in regulated products under existing sectoral legislation.

4. Obligations for High-Risk AI Deployers

As a deployer of high-risk AI systems (e.g., credit/risk scoring models used in underwriting, fraud detection, automated claims assessment), Nova Insurance Group must:

- Use AI systems in accordance with the provider's instructions and intended purpose.
- Assign qualified human oversight — a named individual responsible for monitoring outputs and intervening when necessary.
- Implement and document a process for monitoring AI system performance throughout its operational lifecycle.
- Ensure that individuals subject to AI-based decisions are informed and can exercise their right to an explanation.
- Maintain logs of AI system outputs for a period determined by the relevant data retention rules (minimum 3 years).
- Register high-risk AI systems in the EU database (via the provider, where applicable).
- Conduct a Fundamental Rights Impact Assessment (FRIA) before deploying high-risk AI affecting EU citizens.
- Notify the competent national authority of any serious incidents or malfunctions of high-risk AI systems.

5. General Purpose AI (GPAI) Models

If Nova Insurance Group uses large language models (LLMs) or other foundation models via API (e.g., for the internal RAG chatbot or other AI assistants), these are regulated as General Purpose AI (GPAI) models under Chapter V. Our obligations as a deployer include:

- Using GPAI models only from providers that have published the required technical documentation and model card.
- Ensuring GPAI models used for high-risk applications comply with all high-risk obligations.
- Disclosing AI-generated content where it is likely to be mistaken for human output (deepfake rule).
- Retaining technical documentation for GPAI-based systems for a minimum of 10 years.

6. Sanctions and Penalties

Non-compliance with the EU AI Act can result in substantial fines:

Violation Category	Maximum Fine
Prohibited AI practices (unacceptable risk)	EUR 35 million or 7% of global annual turnover
High-risk AI obligations / GPAI obligations	EUR 15 million or 3% of global annual turnover
Providing false or misleading information to authorities	EUR 7.5 million or 1% of global annual turnover

7. What Nova Insurance Group Is Doing

The Compliance team, in partnership with Legal, IT Security and the DPO, has initiated the following actions to ensure EU AI Act readiness:

- AI Inventory: all existing AI systems are being catalogued and risk-classified by Q3 2025.
- Compliance Approval Gate: the process (NIG-PROC-COMP-004) has been updated to incorporate EU AI Act requirements.
- Staff Training: mandatory AI Act awareness training will be rolled out to all employees by August 2025.

- FRIA Template: a Fundamental Rights Impact Assessment template is being developed for high-risk AI deployments.
- Vendor Review: all third-party AI provider contracts are being reviewed to ensure EU AI Act obligations are appropriately allocated.

8. Key Contacts

Role	Name	Contact
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